Kashmiri Islam was different from the Islam of Jinnah's Pakistan, so was Kashmiri Hinduism; it was more Kashmiri than Hindu. In other words, the Hindu minority in the state had more in common with the Muslim majority than it had with the Hindus elsewhere in the Indian subcontinent. It was an outlook that derived itself almost entirely from an interpretation of the situation in the valley. It ignored the composite state founded by Maharaja Gulab Singh. For the Dogra's, the Muslims of the valley were colonial subjects ruled by a Hindu Jammu elite aided and abetted by the Pandit community. For Abdullah, on the other hand, the non-Muslims of Jammu and Ladakh were the colonial subjects of a Kashmiri elite recruited from the ranks of the National Conference, with which only some Pandits collaborated.

On the economic front, Abdullah was committed to social reforms along the lines pioneered by the Soviet Union. One of the first priorities was land reform. This would ultimately lead to Sheikh Abdullah enforcing a revolution in the landholding pattern of the state, in March 1953, which involved the setting up of collective farms. The largest landholding now permitted was just under 23 acres. All this fell under the aegis of the Big Landed Estates Abolition Act introduced by him. All this was accompanied by a great deal of direct governmental involvement within the industrial sector and the distribution of industrial products. Further, Sheikh Abdullah set up a planning system modelled on the Soviet five-year plans. The first Kashmir Plan provided for extensive irrigation works and for the construction of a tunnel under the Bannihal Pass, which would keep the crucial line of road communication between Jammu and Srinagar open throughout the year. Finally, the new regime made it clear that it would welcome no argument or organised opposition—it retained powers of detention and suppression of hostile press comment which clearly was in conflict with the democratic protestations of the state's new overlord, the Government of India.

Abdullah's repeated and long periods of incarceration in the Maharaja's prisons, 1931 onwards, resulted in the articulation of a very strong demand from the National Conference, during the Quit Kashmir agitation of 1946,